Bata India Ltd.

Q4FY22 Result Update | Footwear

Retail Pick-Up the Key

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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Bata Q4FY22 Results were slightly lower than expectations on topline, however EBIDTA margins @ 24.4% (8qtr high) was a positive surprise.

- **Revenue** at Rs 6652.47mn grew by 12.8% YoY and 7.3% over Q4FY20, however was still lower from Q4FY19 Revenue of Rs 6794mn. Volume growth still in the negative zone.
- ***Management has commented that YTD Q1FY23 growth is 11% pre-covid.***
- Bata added 126 **stores** in FY22 to reach 1814 stores. The growth was mainly franchise led which increased by 38% YoY to 303 stores.
- **EBIDTA margins** stood at 24.4% best in last 8 quarters on back of lower Raw Mat to Revenue.
  - Raw Mat to Revenue stood at 42.4% v/s 46.9% YoY and was the lowest in last 7 quarters.
  - **This was aided by 10% pricing growth and 16% rise in ASP.**
- **Rent concession reduced** to Rs 43.25mn as against Rs 158.92mn YoY and Rs 47.85mn QoQ.
- EBIDTA in absolute terms grew by 45% YoY to Rs 1621.43mn and PBT by 110% YoY to Rs 846.01 as Depreciation and Interest rose by 15.8% and 1.6% respectively on a YoY basis.
- PAT increased by 114% to Rs 629.6mn.
- Management declared dividend of Rs 54.5 (including special dividend of 50Rs)

Outlook: Downside limited, longterm Investor should HOLD

- Q1FY23 YTD has grown at 11% Pre-Covid levels and Gross margins sustained @ 58%
- Covid back-log behind
- Casualization and Sneakerization were key growth drivers and management would continue to focus on the same
- Marketing spends is expected to increase || Employee cost to be controlled by ramping up flexi man-power
- Launched Pilot on Men's/Ladies Open value-added range under POWER Brand (15-20 varieties started)

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	30,561	17,085	23,877	37,923	39,722
growth (%)	*4.3*	*(44.1)*	*39.8*	*58.8*	*4.7*
EBIDTA	8,321	1,622	4,185	9,152	9,891
Margins	27	9	18	24	25
PAT(adj)	3,290	(847)	1,030	4,786	5,299
growth (%)	*(0.0)*	*(125.7)*	*(221.6)*	*364.7*	*10.7*
EPS (Rs)	25.6	(6.6)	8.0	37.2	41.2
P/E (x)	70.3	(273.1)	224.6	48.3	43.7
P/B (x)	12.2	13.2	12.7	14.5	11.2
EV/EBITDA (x)	26.6	135.9	53.0	24.5	22.2

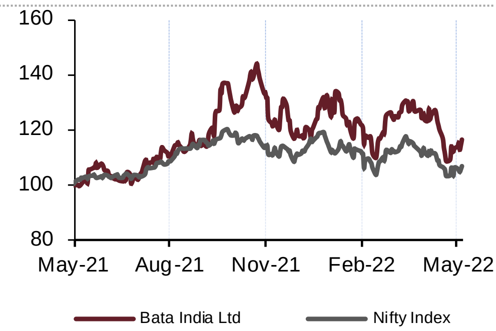
Source: Company

Rating	TP (Rs)	Up/Dn (%)
HOLD	**1,978**	**10**

Market data		
Current price	**Rs**	**1,803**
Market Cap (Rs.Bn)	(Rs Bn)	232
Market Cap (US$ Mn)	(US$ Mn)	2,986
Face Value	Rs	5
52 Weeks High/Low	Rs	2262 / 1527.4
Average Daily Volume	('000)	979
BSE Code		500043
Bloomberg		BATA.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	52.96	52.96
Public	47.04	47.04
Total	**100**	**100**

Source: BSE

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Bata Conference Call KTA's

RETAIL BUSINESS

- Kids and School business contribute 10% (approx. 50% each) has seen some pick-up
- FY22 pricing growth ~ 10% and ASP growth @ +16% aided by better product mix. (Overall Volume growth -13%)

SNEAKER Proposition (a pillar of growth)

- Contribute 20% Sales (19.3% in Q3FY22)
- 107 Sneaker Studio across India
- Northstar brands within Sneaker did extremely well +200% growth on lower base.
- Developed supply capability to make the product available and increased marketing spends
- Currently focused more on casual-wear, lifestyle wear, basic walking and running, performance based is still not fully developed.

E-COMMERCE

- E-commerce is the fastest growing channel || own website recorded +42% improvement in ASP over precious quarter || E-Commerce 2.5x from FY19 and 1.1x YoY || E-Commerce complains reduced to 6.9% expected to fall further

STORES & Distribution

- 1569+ Exclusive Stores in 640 towns
- 64 Renovations & Facelift in Q4FY22|| Planned higher Renovation/ Face lift going forward
- Stores total 1814 v/s 1722 QoQ and 1688 YoY
- Store FY22: break-up 70% COCO i.e. 1266 || 17% Franchise i.e. 303 || 13% SIS i.e. 245
- Store FY21: Break-up 77% COCO i.e. 1324 || 13% Franchise i.e. 228 || 10% SIS i.e. 170
- New Stores additions Q4FY22: Franchisee +23 || SIS +34 || Hush Puppies +2 || Bata +6
- Towns Covered 1047 v/s 1005 Dec 2021.
- Franchise store opening run-rate @ 20-30 per quarter to continue with vision to reach 500 towns (250 already reached)
- Expansion 80% via franchise route and 20% COCO going forward that will save capex outlay as well.
- 32% distributors reached v/s 28% in Dec-21.

Other KTA's

- Overall Volume @ runrate basis down by 13% expected to increase with more value add products.
- Dec-21 and Jan-22 pick-up was slow, however Feb-22 and Mar-22 did well.

- MBO's contribute 13-15% of turnover expected to reach 20%
- Customers Returns reduced by 20% with better supply chain management.
- Brand Awareness ~84% & Brand Consideration ~54%
- ~14% growth from previous quarter in B2C Marketplaces.
- New Inventory management technology introduced i.e. RIMS Version-2
- Men's Dress category doing well

Quarterly Snapshot

Particulars (Rs Mns)	Q4FY22	Q4FY21	*Growth*	Q3FY22	*Growth*
Net Sales	6652.47	5899.07	*12.8*	8413.02	*(20.9)*
Other Income	187.49	144.71	*29.6*	135.38	*38.5*
TOTAL INCOME	**6839.96**	**6043.78**	***13.2***	**8548.4**	***(20.0)***
Cost of Materials Consumed	-700.01	-143.87	*386.6*	-741.44	*(5.6)*
Purchase of Stock in Trade	-3856.31	-2392.29	*61.2*	-2924.97	*31.8*
Changes in Inventories	1734.7	-230.77	*(851.7)*	-315.66	*(649.5)*
Employee Cost	-952.2	-913.34	*4.3*	-1049.59	*(9.3)*
Other Expenses	-1257.22	-1099.01	*14.4*	-1695.14	*(25.8)*
EBIDTA	1808.92	1264.5	*43.1*	1821.6	*(0.7)*
EBIDTA (Excl O. Income)	**1621.43**	**1119.79**	***44.8***	**1686.22**	***(3.8)***
Less: Depreciation	-717.51	-619.65	*15.8*	-615.46	*16.6*
PBIT	1091.41	644.85	*69.3*	1206.14	*(9.5)*
Less: Interest Cost	-245.4	-241.57	*1.6*	-233.36	*5.2*
PBT (Before Exceptional)	**846.01**	**403.28**	***109.8***	**972.78**	***(13.0)***
Exceptional					
PBT (Post Exceptional)	846.01	403.28	*109.8*	972.78	*(13.0)*
Tax	-216.41	-108.89	*98.7*	-249.19	*(13.2)*
PAT (Reported)	629.6	294.39	*113.9*	723.59	*(13.0)*
PAT (Adjusted)	**629.6**	**294.39**	***113.9***	**723.59**	***(13.0)***
Equity	642.64	642.64	-	642.64	-
FV	5	5		5	
EPS (on adjusted PAT)	4.9	2.3	*113.9*	5.6	*(13.0)*
OPM	24.4%	19.0%		20.0%	
NPM (Reported PAT)	9.2%	4.9%		8.5%	
Tax Rate	25.6%	27.0%		25.6%	
% of Total Operating Income					
RAW MATERIALS	42.4%	46.9%		47.3%	
Employee Cost	14.3%	15.5%		12.5%	
Other Expenses	18.9%	18.6%		20.1%	
EXPENDITURE	75.6%	81.0%		80.0%	

Valuation & Outlook

In case of Bata pick-up retail business is the key as it is still not crossed the Precovid levels, also the suitability of margin improvement would be a key monitorable.

At CMP of Rs 1801 Bata trades at 48x FY23e EPS of Rs 37 and 44x FY24e EPS of Rs 41. We believe the downside is limited, as sales are on an improvement trajectory on lower base.

We maintain "**HOLD**" (*with a target price of Rs 1978)* for long-term investors as the gestation period could be longer for profitability (peak Post Ind-As EBIDTA margins of 27.2% FY20) to come back to historic levels.

Financials

Bata India Ltd

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Operating Incom	30,561.1	17,084.8	23,877.2	37,922.6	39,721.5
Raw Materials	(12,965.8)	(8,375.0)	(10,868.1)	(17,254.8)	(17,676.1)
Employee Cost	(3,764.2)	(3,398.2)	(3,786.8)	(4,165.5)	(4,498.8)
Other Expenses	(5,510.1)	(3,689.8)	(5,037.4)	(7,350.1)	(7,655.5)
Total Expenses	(22,240.2)	(15,463.0)	(19,692.3)	(28,770.5)	(29,830.4)
Operating Profit	**8,321.0**	**1,621.8**	**4,184.9**	**9,152.2**	**9,891.1**
Depreciation	(2,958.0)	(2,647.5)	(2,419.6)	(2,421.9)	(2,393.6)
PBIT	5,363.0	(1,025.7)	1,765.3	6,730.3	7,497.6
Other income	686.8	940.9	559.9	581.3	469.4
Interest	(1,177.4)	(1,035.5)	(928.2)	(913.2)	(882.8)
Extraordinary Items					
Profit before tax	4,872.4	(1,120.3)	1,397.0	6,398.4	7,084.2
Provision for tax	(1,582.8)	273.3	(367.1)	(1,612.4)	(1,785.2)
Reported PAT	**3,289.5**	**(847.0)**	**1,029.9**	**4,786.0**	**5,298.9**
Extraordinary Items	-	-	-	-	-
Minority Interest	0.0	0.0	0.0	0.0	0.0
Adjusted PAT	**3,289.5**	**(847.0)**	**1,029.9**	**4,786.0**	**5,298.9**

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	3,289.5	(893.1)	1,029.9	4,786.0	5,298.9
Add: Dep. & Amort.	2,958.0	2,647.5	2,419.6	2,421.9	2,393.6
Cash profits	**6,247.5**	**1,754.4**	**3,449.5**	**7,207.9**	**7,692.5**
(Inc)/Dec in					
-Sundry debtors	30.8	(161.0)	76.5	(321.8)	(49.3)
-Inventories	(343.1)	2,654.0	(2,626.3)	(2,096.3)	(512.6)
-Loans/advances	(191.7)	1,238.1	8.5	-	-
-Current Assets	(276.8)	(489.8)	(228.9)	(278.5)	(306.4)
-Sundry creditors	(1,126.3)	(636.6)	164.2	2,104.0	162.7
-Others	(302.0)	163.3	577.7	165.6	183.0
Change in working capital	(2,209.1)	2,768.1	(2,028.2)	(426.9)	(522.4)
CF from Oper. activities	**4,038.4**	**4,522.4**	**1,421.4**	**6,781.0**	**7,170.1**
CF from Inv. activities	**(13,513.4)**	**(285.7)**	**(3,199.2)**	**(2,066.3)**	**(1,853.5)**
CF from Fin. activities	**10,711.1**	**(2,907.8)**	**497.4**	**(7,181.5)**	**(1,000.8)**
Cash generated/(utilised)	**1,236.1**	**1,329.0**	**(1,280.4)**	**(2,466.8)**	**4,315.8**
Cash at start of the year	8,403.1	9,639.2	10,968.2	9,687.7	7,221.0
Cash at end of the year	9,639.2	10,968.2	9,687.7	7,221.0	11,536.7
	-	-	-	-	-

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	642.6	642.6	642.6	642.6	642.6
Reserves	18,296.6	16,938.3	17,503.9	15,285.6	19,941.9
Net worth	**18,939.2**	**17,580.9**	**18,146.5**	**15,928.2**	**20,584.5**
Def. Tax Liab.+Minori	-	-	-	-	-
Longterm Debt	-	-	-	-	-
Short Term Debt	-	-	-	-	-
Total debt	-	-	-	-	-
Lease Liability	10,353.5	8,596.7	8,912.9	8,768.6	8,476.9
CAPITAL EMPLOYED	**29,292.7**	**26,177.5**	**27,059.4**	**24,696.8**	**29,061.4**
Total fixed assets	**3,564.1**	**3,237.7**	**3,104.2**	**2,897.6**	**2,659.0**
Goodwill	-	-	-	-	-
Investments	-	-	-	-	-
Inventories	8,736.8	6,082.8	8,709.1	10,805.4	11,317.9
Sundry debtors	632.7	793.7	717.2	1,039.0	1,088.3
Cash & bank	9,639.2	10,968.2	9,687.7	7,221.0	11,536.7
Loans & advances	1,246.6	8.5	-	-	-
Other current assets	2,066.4	2,556.2	2,785.0	3,063.5	3,369.9
Sundry creditors	(5,033.9)	(4,397.3)	(4,561.5)	(6,665.6)	(6,828.3)
O. Current Liablities	(752.6)	(917.2)	(1,491.2)	(1,640.3)	(1,804.4)
Provisions	(2,245.4)	(1,832.5)	(2,139.3)	(2,122.9)	(2,075.5)
Working capital	**14,289.9**	**13,262.4**	**13,707.0**	**11,700.0**	**16,604.6**
Deferred Tax Assets	1,109.9	1,384.0	1,041.6	1,041.6	1,041.6
Miscellaneous exp.	-	-	-	-	-
CAPITAL DEPLOYED	**18,963.8**	**17,884.0**	**17,852.8**	**15,639.3**	**20,305.2**

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	27.2	9.5	17.5	24.1	24.9
NPM	10.5	(4.7)	4.2	12.4	13.2
Tax rate	(32.5)	(24.4)	(26.3)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	4.3	(44.1)	39.8	58.8	4.7
Operating Profit	74.4	(80.5)	158.0	118.7	8.1
PAT	(0.0)	(125.7)	(221.6)	364.7	10.7
Per Share (Rs.)					
Net Earnings (EPS) (FV 5)	25.6	-6.6	8.0	37.2	41.2
Cash Earnings (CPS)	48.6	13.7	26.8	56.1	59.9
Dividend	4.0	4.0	4.0	54.5	5.0
Book Value	147.4	136.8	141.2	123.9	160.2
Free Cash Flow	113.7	40.7	12.4	56.4	59.1
Valuation Ratios					
P/E(x)	**70.3**	**(273.1)**	**224.6**	**48.3**	**43.7**
P/B(x)	12.2	13.2	12.7	14.5	11.2
EV/EBIDTA(x)	26.6	135.9	53.0	24.5	22.2
Div. Yield(%)	0.2	0.2	0.2	3.0	0.3
FCF Yield(%)	**6.3**	**2.3**	**0.7**	**3.1**	**3.3**
Return Ratios (%)					
ROE	17.4	(4.8)	5.7	30.0	25.7
ROCE (Excluding Financial Liability)	28.3	(5.8)	9.7	42.3	36.4
ROCE (Excluding Cash & Bank)	27.3	-6.7	10.2	38.5	42.8

Source: Dalal & Broacha Research, Company

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